THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

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CLASS 9 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 2

Chapter 1: **The Problem of Choice (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A town has Rs 10 crore. Option 1: bridge (benefit 4 units). Option 2: school (benefit 6 units). It picks the school. Opportunity cost is 1

(a) the bridge's benefit of 4 units **(b)** nothing
(c) 10 crore **(d)** 6 units

2. Assertion (A): The government has no role in a market economy. Reason (R): Prices are set by demand and supply. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

3. Which pair BEST shows opportunity cost for a government? 1

(a) Budget presented - survey read **(b)** Hospital built - school not built
(c) Loan taken - loan repaid **(d)** Tax collected - tax paid

4. If the cost of machines falls sharply, which sector shift is most likely? 1

(a) Closure of all factories **(b)** More capital-intensive production
(c) No change **(d)** More labour-intensive production

5. Which of these decisions MOST clearly involves 'for whom to produce'? 1

(a) Choosing the colour of a factory
(b) Buying a new truck
(c) Selecting a machine brand
(d) Making affordable low-fat milk packs for low-income families

6. A country has a strong private sector, strict consumer laws and subsidised healthcare. It is 1

(a) a pure market economy **(b)** a planned economy
(c) a mixed economy **(d)** a barter economy

7. Assertion (A): Wants are limited. Reason (R): Resources have many alternative uses. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

8. A farmer's PPC has a point outside the curve. This represents 1

(a) waste
(b) an efficient output
(c) a price
(d) an output not possible with current resources

9. **Assertion (A):** Human wants are unlimited. 1
Reason (R): Resources available to an economy are also unlimited.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

10. **Assertion (A):** A point lying inside the production possibility curve shows that all resources are being used efficiently. 1
Reason (R): A point on the curve shows the maximum output combination that can be produced with the given resources.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. State two reasons why government-provided public goods are important in a market economy. 2

12. Name two limitations of using only market forces to decide production. 2

13. Why is a mixed economy sometimes criticised? 2

14. How does increased competition affect the price and quality of a product? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Analyse the trade-off between short-term profit and sustainability using sugarcane and millets. 3

16. A factory has the choice of making 100 cheap toys or 20 expensive toys. State the opportunity cost of one expensive toy and decide for whom each is suited. 3

17. 'India is a mixed economy even though it follows market reforms.' Explain. 3

OR

A government abolishes licences for an industry. Explain two likely effects. 3

18. A hotel owner automates check-in. Discuss the factors which could have led to this. 3

OR

Why are the economic choices of a nation more complex than those of a household? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. **Case study.** In country X a central planning authority fixes what is produced and at what price. In country Y prices and output are decided by demand and supply, and the government mainly makes rules and provides public goods. Country Z has private hospitals as well as free government hospitals, and private factories beside public-sector ones. 5
(i) Name the economic system of X.
(ii) Name the system of Y and one country cited as its example.
(iii) Which system does Z follow, and which of the three systems is India regarded as?
(iv) State one likely drawback of X and one likely strength of Y.

20. Compare the three economic systems and evaluate which suits a diverse developing country. 5

OR

Evaluate the claim 'Markets alone can solve the problem of choice'. 5

END OF QUESTION PAPER — Total: 40 Marks